

**BAKER
HUGHES**

Rpt Date 23/Dec/2006				Well Name/No Bilabri D4				Section Name/No 12-1/4" Section #3				Mud System SYN-TEQ (PARA)					
Job# 1		Spud Date 09/Nov/2006				MD 2385.00 m				Progress 3.00 m				Present Activity Back Reaming			
Operator Peak Petroleum Indust. Limited				Company Rep James Blackmon/Peter Vermeulen				Contractor Dolphin Drilling Ltd				Contractor Rep Ally Tough / Terry Nanidis					
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria				Area Offshore		Country/State Nigeria				Rig BULFORD DOLPHIN					
Drilling Assembly						Casing			Volumes		Pump Information						
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC		PDC			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
Drill Collars			Drill Pipe			36	31 3/4	262.00	1289.1	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
OD in	ID in	Length m	OD in	ID in	Length m	20	18 3/4	291.60	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
8 1/2	3	10.60	5	4.276	1041.47	13 3/8	12.415	800.00	421								
8	2 3/4	74.99	5	3	112.25		12 1/4	2385.00	Tot Active								
									1710.1	Circulation Times							
									In Storage	Surface to Bit		min/stks		Total System		min/stks	
									785	Bottoms Up		min/stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property		1	2	3	4	AV Riser	ft/min		Standpipe Pressure	0 psi		Water Depth				146.00 m	
Sample From		Reserve	Active Pit	Active Pit	Active Pit	AV Casing	ft/min		Hole Flow	USgal/min		Riser Booster Rate				USgal/min	
Check Time		03:30	05:00	13:00	23:00	AV Open Hole	ft/min		Solids Analysis								
MD m		2382.00	2382.00	2387.00	2385.00	Vc Open Hole	ft/min		Property	1	2	3	4				
TVD m		2214.00	2214.00	2214.00	2214.00	Vc Drill Pipe	ft/min		LGS %	4.52	5.39	6.42	5.42				
Bit Depth m		2380.00	2380.00	2381.00	2255.00	Min Ann Velocity		LGS lb/bbl	41.17	49.14	58.54	49.37					
Inc deg		9.24	9.24	9.24	9.24	AV Riser	ft/min		HGS %	5.31	4.92	4.40	4.94				
Density ppg		9.30	9.30	9.30	9.30	AV Casing	ft/min		HGS lb/bbl	78.16	72.46	64.74	72.78				
Funnel Visc. sec/quart		73.0	81.0	85.0	83.0	AV Open Hole	ft/min		Avg Dens Sol sg	3.4645	3.3635	3.2503	3.3635				
Circ BHTdegF		180.0	180.0	160.0		Bit Information											
Flow Line Temp degF		160.0	160.0	140.0	135.0	Size	12 1/4 in										
Test Temp degF		95.0	110.0	110.0	110.0	Hours On Bit											
Rheol Temp degF		120.0	130.0	120.0	120.0	Bit Number											
PV cP		32	36	38	38	BHA Number	8		Rheology								
YP lb/100ft^2		13	34	34	32	Depth In	1250.00 m	600 RPM	77	106	110	108					
10sec Gel lb/100ft^2		10	14	13	14	Bit RPM		300 RPM	45	70	72	70					
10min Gel lb/100ft^2		15	25	22	25	WOB	klbf	200 RPM	36	56	57	56					
HTHP Filtrate cc		4.0	2.2	2.0	2.0	Nozzles	7x16	100 RPM	28	39	39	40					
HTHP Cake in/32		2.0	2.0	2.0	2.0	Bit Hydraulics		6 RPM	11	15	15	15					
HTHP Temp degF		250.0	250.0	250.0	250.0	TFA	1.3744 in^2	3 RPM	9	13	14	13					
HTHP Pressure psi		500	500	500	500	Nozzle Vel	ft/sec										
Retort Water %		25.0	24.0	24.0	24.0	Bit Press Loss	psi										
Retort Base Fluid %		63.0	63.5	63.0	63.5	HHP / Area	HP/in^2	Hydraulic Analysis									
Retort Solids %		12.0	12.5	13.0	12.5	HHP	%	Behavior Index (n)									
Corrected Solids %		9.8	10.3	10.8	10.4			Consistency Index (k)									
Oil:Water Ratio		72:28	73:27	72:28	73:27			ECD @ Bit Depth									
Alk (Whole Mud-POM) cc/cc		1.40	2.10	2.00	2.10			ECD @ Casing Shoe									
Cl (Whole Mud-Clom) cc/cc		53000	53000	52000	52000	Fluid Comments/ Recommendations											

ADVANTAGE Daily Drilling Fluids Report - 48

INTEQ

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN			
Solids Control Equipment												
Name	#	Mfr	Hours hours	Screen Sizes		Act Volume Lost bbl		Res Volume Lost bbl		Comments		
CENTRIFUGE	1	SWACO	2.0			3.0		0.0				
CENTRIFUGE	2	SWACO	0.0			0.0		0.0				
DESANDER	1	SWACO	0.0			0.0		0.0				
DESILTER	1	SWACO	0.0			0.0		0.0				
MUD CLEANER	1	SWACO	0.0	175, 210		0.0		0.0				
SHALE SHAKER	1	Brandt	0.0			0.0		0.0				
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175		4.0		0.0				
SHALE SHAKER	2	Brandt	0.0			0.0		0.0				
SHALE SHAKER	2	Derrick Equipments Co	20.0	3 x 175		3.0		0.0				
SHALE SHAKER	3	Derrick Equipments Co	20.0	3 x 175		3.0		0.0				
SHALE SHAKER	3	Brandt	0.0			0.0		0.0				
				Total Volume Lost		13		0				
Volumes												
Additions bbl			Losses bbl			Total Volumes bbl						
Mud Added	Weight Materials		Downhole	22	Left In Pit		Starting Volume	2550.5	Riser w/o Pipe	209.1		
Brine	Water		Cased Off		Trip Losses	4	Daily Additions	1.9	Casing w/o Pipe	383.2		
Base Fluid	Product	1.9	Left In Hole		Injected		Daily Losses	57	Open Hole w/o Pipe	759.0		
Recycled	Other		Discharged		Spill To Environment		Ending Volume	2495.4	String Displacement	62.2		
			SCE	13	Onshore Disposal		Net Change	-55.1	String Capacity	105.2		
			Evaporation	14	Returned				Total Hole w/ Pipe	1289.1		
			Other Losses	4					Total Active	1710.1		
									Total Reserve	785.0		
IADC Hours												
Drilling Formation			0.5	Rig Repair		10	Back Reaming		9	Circulate	4.5	
Primary Currency USD			Secondary Currency			Totals USD						
Daily Product Cost		428021.91		Daily Product Cost		0.00		Primary Product		1218031.55		
Daily Tax		0.00		Daily Tax		0.00		Secondary Product		0.00		
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering		55406.25		
Daily Engineering Cost		900.00		Daily Engineering Cost				Secondary Engineering		0.00		
Total Daily Cost		428921.91		Total Daily Cost		0.00		Primary Total		1273437.80		
Total Inventory Value		650655.09		Total Inventory Value		0.00		Secondary Total		0.00		
								Deck Load		752637 lb		
Products and Services												
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk												
MIL-BAR		1000 kg	135						135	142.35	126.48	
Oil Based Product												
CARBO-GEL		25 kg	380		287			293	374	4.48	5.65	
MIL-LIME		25 kg	60		131			131	60	6.44	1.78	
OMNI-COTE		55 USgal	10						10	0.37	0.32	
OMNI-MUL		55 USgal	16		27			27	16	5.36	2.28	
OMNI-PLEX		55 USgal	6		7			8	5	3.70	3.29	
OMNI-TEC		55 USgal	14		14			14	14	2.36	1.16	
PARA-TEQ		1 bbl	1271		1007			1007	1271			
Water Based Product												
CAUSTIC SODA		25 kg	32						32			
MIL-GUAR		25 kg	50						50	0.41	0.25	
SOLUFLAKE		25 kg								0.19		
Xanthan Gum		25 kg	39						39	0.71	0.43	
XCIDE 102		55 USgal	1						1	0.01	0.01	
LCM												
CALCIUM CARBONATE - FINE		25 kg	420						420	7.21	1.03	
CALCIUM CARBONATE - MED		25 kg	440						440	8.29	1.85	
KWIKSEAL - MEDIUM		25 kg								0.16		
MIL-PLUG FINE		25 kg								0.14		
Other												
BLACK MAGIC SF T		25 kg	120						120			
CALCIUM CHLORIDE (97%)		25 kg	200		490			490	200	9.95	10.68	
SAW DUST		25 kg	29						29			
BHDF Fluids Rep		BHDF Rep Phone		Warehouse	Warehouse Phone		Coordinator	Daily Cost		Cumulative Cost	Inventory Value	Page 2
Waboso Peter / Kunle Olayinka		234-803-402-0440		Onne	234-84-462609		Lawson Ogaree	428921.91 USD		1273437.80 USD	650655.09 USD	
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.												